Schneider Electric SE (SU.PA)

Long-Term Conviction Report — Deep-Dive Mode

SU.PA | A-ID (Stalwart, data-centre fast-grower phase) | Price €240.45 ($269.26) — Nov 2, 2026, Euronext Paris, yfinance | Report date 2026-11-02

VERDICT — YELLOW · Verdict Score 5.8 / 10

Undervalued (F-Score 64) | MoS Gate: NONE (price 1.02× Base) | QUALITY (Compounder 4.5/9) | AI Impact: TAILWIND

DCF Bear €145.20 ($162.60) / Base €235.70 ($263.94) / Bull €307.10 ($343.90) vs price €240.45 ($269.26). Price sits 2% above the Base and 22% below the Bull, after a −21% month (PTC deal + AI-infrastructure sell-off). Every value includes the PTC acquisition (€21.2B) and the €6.0B share issue at €240.

Default Warnings: none triggered on available data (margins rising, FCF 111% of net income, estimates flat to up). Customer concentration could not be checked: the 2025 Universal Registration Document was not retrievable.

Main risks:

- PTC price: $205/share cash, EV $23.7B (€21.2B), ~22× EBITA, a 42% premium. At our estimate the deal destroys ~€3.3B (≈ €5.6/share) even with the $250M cost synergies. JPMorgan downgraded on capital being steered to the weaker Industrial Automation side.
- Data-centre concentration: Data Center & Networks ~30% of revenue, demand +100% for three quarters. A 2027–28 capex digestion is the Bear case (€145, −40%). US AI-infrastructure peers are −23% (median) since Oct 6.
- Dilution and leverage: 25M new shares at €240 (−4% for non-participants); €6.0B bond; pro-forma net debt ~€30B (~2.9× EBITDA) at closing (Q3 2027).
- Discount rate: Base = price at an 8.35% WACC (house 8.45%). At +3 pts even the Base falls to €141.
- Gross margin mix: FY25 gross margin −40bp organic on Systems/data-centre mix. Bear margin path 18% vs Base 21.5%.

Personal analysis, not financial advice. DCF values are illustrative scenario modelling, not price targets. USD at 1 EUR = $1.1198.

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Summary

Verdict: YELLOW, score 5.8/10. The business quality supports conviction, but at €240.45 ($269.26) the price only matches our Base case (€235.70 ($263.94)). It does not offer a margin of safety. Schneider is having its best operating year: Q3 revenue was a record €11.46B (+16.9% organic), data-centre demand grew triple digits for a third quarter, and 2026 guidance was raised twice (organic growth 12–14%, adjusted EBITA margin ~19.7–19.9%). The stock nevertheless fell 21% in a month. The cause was company-specific (the $22.6B PTC acquisition announced Oct 5: −~10% that day, a JPMorgan downgrade, and the €6B share issue at €240 on Oct 20) on top of the US AI-infrastructure sell-off. The fall brought the price from far above fair value to roughly fair value, not below it. **First report on this name** (no earlier deep-dive; the LT screens did not include it).

Anchor	Value	Price ÷ value
Bear (data-centre digestion + PTC overpaid)	€145.20 ($162.60)	1.66×
Base (2027 at the guided margin pace)	€235.70 ($263.94)	1.02×
Consensus case (2027 EPS €12.59)	€241.90 ($270.88)	0.99×
Bull (data-centre visibility to 2028 holds, PTC synergies delivered)	€307.10 ($343.90)	0.78×

The gate would clear at a price below the Base, about €235 (2% lower). A level with real cushion is about €200–215, where the price sits at the Base value under a 0.5–1 pt higher WACC. Analyst mean target €323.48 (23 analysts, recommendation 1.52).

0. Recent Context

Default Warnings check

Warning	Evidence	Triggered?
Margin deterioration (3+ periods)	Schneider reports margins half-yearly. Adjusted EBITA margin FY24 18.6% → FY25 18.7% → H1 26 19.3% (+120bp organic); 2026 guide 19.7–19.9%. Gross margin FY25 42.1% (−40bp organic) → H1 26 42.5% (+10bp organic).	No
Cash conversion break	FCF €4.6B FY25 (+10%), 111% of net income (106% ex one-offs); H1 26 FCF €1.6B	No
Estimate cuts > 5% in 30 days	2026 EPS €10.27 (30d ago) → €10.37; 2027 €12.20 → €12.59 (8 up / 2 down in 30 days)	No
Customer concentration	Not disclosed in the FY25 results release; the URD could not be	Not checked (data gap)

	retrieved. Sales run through distributors, panel builders and OEMs (Q3 call). No evidence of any customer ≥ 20%.	

Latest reported period: Q3 2026 revenue (Oct 2026) and H1 2026 results (July 2026)

Metric	Latest	Prior	Read
Q3 2026 revenue	€11.46B, +16.9% organic, +17.9% reported	Q2 €11.5B, +16.5% organic	Record quarter; YTD organic +20% (call)
Q3 by segment	Energy Management €9.6B +19% org.; Industrial Automation €1.8B +8% org.		EM is the engine
Q3 by business model	Systems +22% org. (35% of revenue); Products +17%; Software & Services +7%		Systems = data-centre projects, lower gross margin
Q3 by region (organic)	China & East Asia +26%, North America +20%, South Asia & Intl +16%, Europe +9%		Broad-based
H1 2026 adjusted EBITA	€4,093M, 19.3% margin (+120bp organic)	H1 25 €3,510M	EM 22.4%; IA 14.0%
H1 2026 gross margin / FCF	42.5% (+10bp org.) / €1.6B		Net debt/adj. EBITDA 1.64× at June 30
2026 guidance (Oct)	Organic revenue +12–14%; adj. EBITA margin +100–120bp organic → ~19.7–19.9%; FX –€300–400M revenue	Feb: +7–10%, +50–80bp	Raised twice

Q3 call (Investing.com transcript): data-centre visibility 'into 2027 and 2028'; Data Center & Networks ~30% of revenue at end-2025 (pure data centre ~4 pt lower); no orders, backlog or book-to-bill disclosed ('we do not give exactly the split of order delivery'). Pricing offset raw materials (copper, silver, memory, semiconductors) and tariffs. Analysts asked about neocloud exposure, China strength and an implied Q4 slowdown (tough Q4 2025 comparison).

PTC acquisition and financing (Oct 2026)

Item	Figure	Source
Price	$205/share cash; equity $22.6B, EV $23.7B (≈ €21.2B); 42.3% premium to Oct 2 close	Bloomberg, Boston Globe, Yahoo

Multiples paid	~8.8× revenue, ~22× EBITA (PTC TTM revenue ~$2.95B, operating margin 28%)	TrendingTopics; yfinance
Synergies	$250M annual cost synergies by year 3; ~$800M revenue synergies	Company via press
Closing	Expected by Q3 2027 (PTC shareholder vote, regulatory approvals)	Press
Equity	€6.0B: 25M new shares at €240 (≈ −5% discount), no preferential rights; settled Oct 22; non-participating 1% holder → 0.96%	Company release via MarketScreener / FinanzWire
Debt	€6.0B bond issued Oct 28; balance via bridge/cash	Press
Market reaction	SU −~10% on Oct 5; JPMorgan to Neutral (questioning ~$27B of deals into Industrial Automation, while calling the sell-off excessive)	Yahoo, Substack summary

Filings — what they add

Retrieval note: se.com returns HTTP 403 to scripted downloads. The **FY2025 results release** (19 pages, Feb 26, 2026) was read in full via a web fetch. The **2025 Universal Registration Document** and the **H1 2026 half-year financial report** could **not** be retrieved, so items that live only there (customer concentration, pension deficit, legal provisions, headcount, unions, risk-factor list) are marked as not read. The H1 numbers above come from the company's release as quoted by Investing.com and Yahoo.

Item	Figure (FY25 release unless noted)	Why it matters
Geographic mix	North America 39% (€13.9B in EM alone; +17% org.), Western Europe 23%, Asia Pacific 26%, Rest of World 12%	US exposure → USD translation risk (FX −€300–400M in 2026)
Segments	Energy Management adj. EBITA €7,235M (21.8%); Industrial Automation €994M (14.2%)	EM ~82% of revenue, ~88% of segment profit
Business model	Systems 34% of FY25 revenue; Software & Services 19%; AVEVA ARR +12%	Recurring share rising; PTC adds ~$3B of software
Net debt	€13,721M at Dec 31, 2025 (incl. IFRS 16), up from €8,147M	€5.5B buyout of the remaining 35% of Schneider Electric India from Temasek (Dec 2025)
Net debt bridge FY25	FCF +€4.6B; dividends −€2.3B; acquisitions −€1.2B; NCI transactions	Cash returns ≈ 50% dividend payout;

	−€5.8B; buybacks −€0.3B; FX & other −€0.9B	M&A dominates capital use
One-offs FY25	Impairment of Uplight stake −€388M; French fine paid; restructuring −€287M; €500M cumulative restructuring planned (2026 guidance appendix)	Adjusted EPS €8.59 vs reported net income €4.16B
Capital return	Dividend €4.20 (+8%, 16th progressive year); share buyback €0.3B in FY25	Now a net issuer (Oct 2026)
2026–30 targets (CMD 2025)	Organic revenue +7–10% CAGR; adj. EBITA margin +250bp cumulative; cash conversion ~100%	Anchor for the Base case years 2028–30
Customer concentration, pensions, legal provisions, headcount, unions, risk factors	Not read (URD not retrievable)	Gap: noted in checklist as ?

Macro overlay — today's /macro and /scan (2026-11-02)

- **Market bias SHORT** (cycle override, SMH Stage 4). Today's /scan downgraded the EU industrials short to WATCH: the EU industrials ETF (EXH4) reclaimed MA20 on 2.9× volume, +1.3% at €114.26. Siemens has a distribution set-up, watch only. European cyclicals are bouncing on a strong ISM (55.5), not breaking down.
- **France:** Fitch moved France's outlook to negative; OAT 10Y near 5%. Western Europe is 23% of Schneider's revenue and France only part of it. This is a risk to the Paris listing's discount rate more than to earnings.
- **AI capex financing:** the macro report flags equity-financed AI capex (Oracle $10B equity + $10B bonds) as a late-cycle sign. Schneider's data-centre exposure (~30% of revenue) is the channel. The Bear case models it.
- **EUR/USD 1.12, Bund ~3.35%** (derived: BTP 10Y ~4.48% less the ~113bp BTP–Bund spread in today's macro report; no direct Bund quote in the pipeline).

Price

€240.45; 52-week closing range €218.87–€311.00; 1 month −20.6%, 3 months −20.0%, 12 months +0.8%. MA20 €250.57, MA50 €274.51, MA200 €267.41: below all three. Raw beta 1.19. The share issue was priced at €240, today's price.

1. Business Overview

Segment (FY25)	What it does	Adj. EBITA (margin)	Growth
Energy Management (~82% of revenue)	Low/medium-voltage distribution, power & cooling for data centres (incl. Motivair liquid cooling), buildings, residential, EM software (ETAP, RIB)	€7,235M (21.8%)	Q3 26 +19% org.

Industrial Automation (~18%)	Discrete and process automation, drives, AVEVA industrial software; PTC (PLM/CAD, ~$3B revenue) from 2027	€994M (14.2%)	Q3 26 +8% org.

End-markets: Data Center & Networks (~30% of revenue at end-2025), Buildings, Industry, Infrastructure. Regions: North America 39%, Asia Pacific 26%, Western Europe 23%, Rest of World 12%. Competitors: ABB, Siemens, Eaton, Legrand, Vertiv (data-centre power & cooling), Hubbell; in automation Rockwell, Emerson, Siemens; in software Autodesk, Dassault, Siemens DI. TAM: no single company-disclosed TAM found; not computed.

2. Routing

Track A — Industrials (ID), Koller FCFF DCF plus peer multiples. Industrial Automation including PTC will be ~22% of revenue: below the ~25% never-blend threshold, so SOTP is not required. The JPMorgan argument (capital going to the lower-margin, lower-multiple half) is handled as a negative PTC value adjustment instead.

3. Categorization (Lynch)

Stalwart, currently in a fast-grower phase. Adjusted EPS €8.32 (2024) → €8.59 (2025) → consensus €10.37 (2026, +21%) → €12.59 (2027, +21%); the medium-term guide (+7–10% organic, +50bp/yr margin) implies ~10–13% EPS growth after the data-centre surge. Not cyclical: operating margin rose every year 2022–25 (16.3% → 17.5%). PEG on 2027 P/E (19.1×) ÷ long-run EPS growth ~12–15% = **1.3–1.6**: acceptable only with strong quality.

4. Earnings Quality (Penman)

Check	Figure	Read
Accrual ratio FY25 (NI − OCF) / avg assets	(€4.16B − €6.13B) / €64.2B = −3.1%	Cash-backed
FCF / net income	111% FY25 (106% adj.); 110% FY23; 97% FY24	High-quality conversion
Adjusted vs reported	Adj. net income €4.83B vs reported €4.16B: purchase-accounting amortisation €457M, Uplight impairment €388M, restructuring €287M	Gap is mostly non-cash and acquisition-related
Margin trend	Gross margin 40.6% (FY22) → 42.6% (FY24) → 42.1% (FY25) → 42.5% (H1 26); adj. EBITA margin 18.6% → 18.7% → 19.3%	Stable gross, rising EBITA via cost leverage (support costs −80bp of revenue)
Pricing power	Positive net pricing in FY25 (tariff impact c.−€160M offset); Q3 26 pricing	Passes the industrials pricing-power

	≈ all of H1	test
Working capital	Trade WC outflow −€360M FY25 (−€594M FY24); inventory €5.37B flat YoY on +5% revenue	No build-up
Leverage vs RNOA	D/E 0.74 FY25 (0.49 FY24) after the €5.5B India buyout	ROE 17% helped by leverage; ROIC (incl. goodwill) ~15%
Dilution	Diluted shares 562M FY25 → ~588M after the Oct 2026 issue (+4.4%)	First meaningful issue in years; deal-driven

5. Valuation — DCF (Koller) + Multiples Ladder

WACC

Input	Value	Note
Risk-free (10Y Bund)	3.35%	Derived from BTP 4.48% − 113bp (macro report 2026-11-02)
ERP (EU) / beta	5.0% / 1.19	Raw beta inside the 0.7–1.4 house band; no clip needed
Cost of equity	9.30%	
After-tax cost of debt	2.66%	~3.5% pre-tax, 24% tax
E/V / D/V	87.2% / 12.8%	Market cap €141.4B (588M shares) vs gross debt €20.8B
WACC	8.45%	Inside the 7–9% EU IG range; stress +3 pts = 11.45%

Legacy / debt-like items and the PTC bridge

Item	Amount	Treatment
Net debt (incl. IFRS 16) at Jun 30, 2026	−€15.4B	1.64× TTM adj. EBITDA ≈ €9.4B (H1 release); Q3 FCF not yet reported, conservative
Non-controlling interests	−€0.26B	Small after the India buyout
Equity raise (Oct 22)	+€6.0B	Cash in, shares 563M → 588M
PTC: price €21.2B vs value to Schneider	Base −€3.3B; Bear −€6.7B; Bull €0	Value = PTC NOPLAT €0.74B + after-tax cost synergies €0.17B, capitalised at 8.45% with ~4.5% growth ≈ €17.9B

		(Base); without synergies ≈ €14.5B (Bear); revenue synergies justify the price (Bull)
Pensions, provisions, litigation	Not quantified	URD not retrievable; disclosed fine already paid in FY25

Consensus reconciliation and sanity check

Year	Consensus EPS (adj.)	Consensus revenue	Base case	Source
2026	€10.37 (19; €9.53–11.23)	€45.34B (20)	Revenue = consensus (starting point)	yfinance Nov 2
2027	€12.59 (14; €11.05–13.67)	€50.50B (17)	Revenue €50.5B; EBITA margin 20.5% → EPS ≈ €12.10 (−4%)	yfinance Nov 2
Run-rate check		Q3 €11.46B × 4 = €45.8B	2027 consensus +10% above run rate	

1. **2026 rebuild from guidance:** organic +12–14% on €40.15B less €0.3–0.4B FX → revenue €44.6–45.4B; adj. EBITA margin 19.7–19.9%; amortisation €0.47B; net finance −€0.55B; tax 24%; associates/NCI −€0.17B → **EPS €10.14–10.46**. Consensus €10.37 sits inside. 2. **2027:** no company guidance. The 2026–30 target (+250bp over five years ≈ +50–60bp/yr) gives a 2027 margin of ~20.3–20.5%. Consensus €12.59 needs ~21.0%, about 110bp in one year: optimistic, 4% above the rebuild top (not 'stretched', < 10%). **Base 2027 = rebuild top (20.5%)**; consensus shown as its own case. 3. **Dispersion:** 2027 high/low 1.24×, tight. 4. **Revisions:** up (+3% in 30 days). 5. **Haircut:** consensus case at 90% / 80% of 2027 EBITA → €240.0 / €238.1: the gate stays NONE either way (it is a price-vs-Base question, not a consensus question).

Scenarios — FCFF 2027–2035, terminal g 3%

Scenario	Revenue growth path	Adj. EBITA margin (steady)	Incremental capital / € revenue	RONIC (terminal)	PTC adj.	TV %	Value @ 8.45%	@ +3 pts
Bear	+4%, 0%, then 5% fading to 3%	19.5% → 18.0%	0.45	15%	−€6.7B	61%	€145.20 ($162.60)	€84.4
Base	+11.4% (consensus), 9%, 8%, 7%, 6% → 3%	20.5% → 21.5%	0.40	20%	−€3.3B	65%	€235.70 ($263.94)	€140.9
Consensus	as Base	21.0% → 22.0%	0.40	20%	−€3.3B	65%	€241.90 ($270.88)	€144.8
Bull	+13%, 12%, 10%, 9% … → 3.5%	20.5% → 23.0%	0.35	30%	€0	68%	€307.10 ($343.90)	€183.9

Bear (named risks): 1) AI data-centre capex digestion in 2027–28. Data Center & Networks is ~30% of revenue, demand has grown triple digits for three quarters, and the macro report flags equity-financed AI capex. Revenue is flat in 2028 and the Systems mix drags the margin to 18%. 2) PTC is overpaid and synergies slip: −€6.7B. **Base:** consensus 2027 revenue, then the CMD 7–10% organic path fading, margin up +250bp by 2030 per target. **Bull:** visibility into 2028 holds (management), margin to 23%, PTC revenue synergies earn the premium.

MoS Gate: NONE. Price €240.45 ($269.26) = 1.66× Bear, 1.02× Base, 0.99× Consensus case, 0.78× Bull (price date Nov 2, 2026). Price equals the Base at an 8.35% WACC (house 8.45%), the Bull at 9.7% and the Bear at 6.5%. The gate is 2% away. It would clear at ≈ €235, with cushion around €200–215.

Multiples Ladder (forward P/E on 2027 consensus EPS, yfinance next-FY)

Anchor	Multiple	Value per share
Bear DCF	11.5× 2027 EPS	€145.20 ($162.60)
Hubbell 18.8×	18.8×	€236.69 ($265.05)
Base DCF	18.7×	€235.70 ($263.94)
Price today	**19.1× 2027; 23.2× 2026; EV/EBITDA TTM 17.6×**	**€240.45 ($269.26)**
EU peer median (ABB 19.1×, Legrand 19.4×, Siemens 20.8×)	19.4×	€244.25 ($273.51)
Consensus case	19.2×	€241.90 ($270.88)
Global peer median (ABB, SIE, LR, ETN 22.5×, VRT 23.1×, HUBB, ROK 29.5×, EMR 23.0×)	21.7×	€273.20 ($305.94)
Own trailing P/E at year-end (adj. EPS): 2024 28.0×, 2025 26.9×	~27.5× on 2026 EPS €10.37	€285.17 ($319.34)
Bull DCF	24.4×	€307.10 ($343.90)
Analyst mean target (23)		€323.48 ($362.24)

Read: Schneider trades in line with EU peers (19.1× vs 19.4×) and below the global group (21.7×) and its own recent history (~27×). That is the cheapest relative position in years, for a business growing faster than most of the peers. The Base DCF (18.7×) sits inside the ladder; the DCF and the peers agree. Relative value is in the **lower-middle** of the ladder. Own-history multiples are only partly comparable: 2024–25 included a data-centre re-rating, and the business now carries more leverage and an expensive acquisition.

Capex-adjusted check (capex 3.8% of revenue — not required)	Value
P/FCF TTM (FCF FY25 €4.6B)	~30× (FCF yield 3.3%)
Dividend yield	1.75% (€4.20)
EV/EBITDA 2027 (standalone, consensus revenue)	~12.7×

Sum-of-the-Parts: single multiple regime by the 25% rule — SOTP not computed.

Sensitivity (Benninga) — Base

WACC \ g	2.0%	2.5%	3.0%	3.5%
6.45%	€332	€358	€391	€435
7.45%	€264	€278	€296	€318
8.45% (house)	€217	€225	**€236**	€248
9.45%	€182	€188	€194	€202
10.45%	€156	€160	€164	€169

Steady EBITA margin \ growth (× Base path)	0.7×	1.0×	1.3×
18.0%	€171	€195	€223
19.5%	€186	€213	€243
21.5%	€206	**€236**	€270
23.0%	€221	€253	€290
25.0%	€241	€276	€317

Value is most sensitive to the discount rate: ±1 pt of WACC moves it −18% / +25%. Terminal value is 65% of the total.

6. Mauboussin — Price-Implied Expectations

WACC	Steady adj. EBITA margin the price needs (Base growth)	Growth multiple needed (Base margin)
7.45%	17.6%	0.56× Base path
8.45% (house)	21.9%	1.04× Base path
9.45%	26.3%	1.49× Base path

At the house WACC, the price needs the Base case almost exactly: CMD organic growth (7–10% to 2030) and the +250bp margin target delivered (~21.9%). That is fair, a symmetric bet, per Mauboussin. Not priced for perfection (that was the case at €311). Base rate: companies guiding to margin expansion achieve about half of it on average, so ~20.5% is the base-rate outcome, worth ~€215.

Years of consensus priced in: P/E 23.2× (2026) and 19.1× (2027) vs the EU peer median 19.4×. The price reaches the peer multiple within ~1 year, which is normal for a quality grower (signal: 2–3 years or less). 2027 EPS × 21.7× global median = €273 (+14%).

Moat and CAP: switching costs and installed base (EcoStruxure, low-voltage distribution standards, AVEVA/PTC software inside customers' engineering workflows), brand and distribution scale, plus efficient scale in data-centre power and cooling. Wide-ish. **CAP 10–15 years**, already earned (ROIC ex-goodwill well above WACC for a decade). The PTC deal deepens software switching costs at a high price.

7. Fisher — Qualitative Checklist

- **#5/#6 Margins:** adjusted EBITA margin up every year; pricing offset tariffs and metals; support costs −80bp of revenue in FY25.
- **#11 Edge:** one of two or three full-stack data-centre power & cooling suppliers (with Vertiv, Eaton); Motivair liquid cooling; broad installed base.
- **#13 Equity financing:** yes, for PTC (€6B at €240). Not needed for operations (FCF €4.6B).
- **#14 Candour:** refuses to disclose orders, backlog or book-to-bill; neocloud split not given. Below best practice for a project-heavy business.
- **#15 Integrity:** a French fine was paid in FY25 (nature not detailed in the release); no disqualifier found. CEO and insider holdings not verified (URD not read).

8. Ilmanen — Factor Read

Factor	Read
Value	Neutral-to-present: 19× 2027 vs ~27× own history; in line with EU peers; price ≈ Base DCF
Quality	Present: 18.7% adj. EBITA margin, FCF > net income, ROIC ~15% incl. goodwill
Momentum	Negative: −21% in a month, below MA20/50/200; 12-month flat
Low beta	Neutral: 1.19

Quality plus emerging value, with momentum against it. The typical set-up for a staged entry rather than a single lot.

9. Quality Compounder Screen (Framework 8)

Criterion	Result	Evidence
ROIC 5-yr avg > 15%	PASS (borderline — ½)	NOPAT/IC incl. goodwill ~14–15% (FY24 13.8%, FY25 15.1%); far higher ex-goodwill

ROIC trend	PASS	Rising with margins
Operating margin > 15%	PASS	Adj. EBITA 18.7% FY25; 19.3% H1 26
FCF / NI > 80%	PASS	111% FY25
Capex / revenue < 10%	PASS	3.8%
Self-funded	FAIL	€6.0B share issue (Oct 2026) for PTC; +4.4% shares
Management ownership	FAIL	Professional CEO; stake not verified; 3.3% 'insider' figure is mostly employee plans
Buybacks at/below value	FAIL	Token €0.3B FY25; now issuing shares at €240 ≈ fair value
Goodwill < 40% of assets	FAIL	€25.1B / €62.5B = 40.2% FY25; PTC adds ~€15B+ more

4.5/9 → QUALITY. With MoS Gate NONE the label is **WATCH (QUALITY)**. Thorndike: serial acquirer (AVEVA, Motivair, Planon, India minority €5.5B, PTC €21B). Large-ticket M&A at premium multiples is now the main use of capital, and the dividend is progressive. Good operators; capital allocation is the weak spot.

10. Sector Appendix — Industrials

Metric	Schneider	Read
EV/EBITDA	17.6× TTM; ~12.7× 2027	Quality range 10–14× on forward; flag > 18× on TTM, so close to the flag
ROIC	~15% incl. goodwill	Strong (> 15%) borderline
Book-to-bill	Not disclosed	Data gap; triple-digit data-centre demand
Backlog / revenue	Not disclosed	Visibility 'into 2027 and 2028' (management)
Organic growth	+16.9% Q3; +20% YTD	Strong (> 5%)
EBIT margin	18.7% adj. EBITA	Strong (> 15%)
Operating leverage	Support costs −80bp of revenue FY25	Positive
Software & services share	19% of FY25 revenue; +PTC ~$3B	Acceptable → rising toward 25%
Pricing power	Net positive through tariffs and metals	Pass

11. Five-Year Ratio Trend Analysis

FY2021 not in the retrieved statements. 'Current' uses the Nov 2, 2026 price; operating margin is yfinance GAAP operating income, not adjusted EBITA.

Metric	FY2022	FY2023	FY2024	FY2025	Current
Revenue	€34.18B	€35.90B	€38.15B	€40.15B	~€43.8B TTM
Revenue growth	—	+5.0%	+6.3%	+5.2% (8.9% org.)	+20% YTD org.
Gross margin	40.6%	41.8%	42.6%	42.1%	42.5% H1 26
Operating margin (GAAP)	16.3%	16.6%	17.2%	17.5%	adj. EBITA 19.3% H1
EBITDA margin	18.6%	20.3%	21.2%	20.9%	
Net margin	10.2%	11.1%	11.2%	10.4%	
ROE	13.7%	15.1%	14.0%	17.2%	18.6% (yfinance)
P/E (reported NI)	19.8×	24.5×	30.6×	31.2×	28.9× TTM
EV/EBITDA	11.9×	14.7×	17.2×	17.1×	17.6×
Debt/Equity	0.41	0.53	0.49	0.74	~0.86
Net debt (company)	~€6.5B	~€9.2B	€8.1B	€13.7B	€15.4B (Jun 26); ~€30B pro forma PTC
FCF margin	9.5%	12.7%	10.9%	11.4%	

Sector metric	FY2022	FY2023	FY2024	FY2025	Current
Capex / revenue	3.2%	3.8%	3.7%	3.8%	
FCF / net income	94%	113%	97%	110%	
Goodwill / total assets	43.1%	41.9%	39.9%	40.2%	rising with PTC
Diluted shares	565M	567M	561M	562M	588M
Organic growth	n/a	n/a	n/a	+8.9%	+12–14% guided 2026

Interpretation: steady compounding (gross margin up ~2 pt, operating margin up 1.2 pt, FCF ≥ net income) while the multiple doubled (EV/EBITDA 11.9× → 17.6×). Most of the 2023–25 return was re-rating. Leverage is now rising for the first time (D/E 0.41 → ~0.86), from the India minority buyout and PTC. The share count, flat for four years, is up 4.4%.

12. Final Verdict

TICKER	Track	Category	F-Score	F-Rating	DCF Bear-Base-Bull	MoS Gate	Compounder	AI Impact	Horizon	Thesis Invalidation
SU.PA	A-ID	Stalwart (fast-grower phase)	64 (V 50 / Q 75 / G 70)	Undervalued	€145 / €236 / €307 ($163 / $264 / $344), WACC 8.45%	NONE (1.02× Base)	WATCH (QUALITY 4.5/9)	TAILWIND	5+ yr if bought ≤ Base	Organic growth < 5% for 2 quarters (data-centre digestion); adj. EBITA margin < 18.5% in 2027; PTC closes with a further equity issue or a higher price; net debt/EBITDA > 3× a year after closing; disclosed data-centre order decline

Verdict Score component	Score	Weight	Weighted	Why
DCF / MoS Gate	3	3	0.9	Between Base and Bull (2% above Base)
Business quality	5.0	3	1.5	4.5/9
Relative value	7	2	1.4	Lower-middle: in line with EU peers, below global peers and own history
Risks	10	2	2.0	No Default Warning triggered (customer concentration not checkable)
Total			**5.8 → YELLOW**	Flag rule agrees: QUALITY with MoS Gate NONE

Summary. No Default Warning is triggered on the data available. Schneider is a high-quality industrial at the operational peak of a data-centre boom. After a 21% fall, driven mostly by its own expensive PTC deal and the share issue, it is priced

at fair value: 19× 2027 earnings, in line with European peers, 2% above our Base DCF. The score is 5.8: one more point on the MoS component (price below Base) would turn it GREEN.

What has to be true: the 2026–30 plan is delivered (organic +7–10%, +250bp margin) and data-centre demand converts into 2027–28 revenue without a digestion year. The PTC price (~22× EBITA) has to be earned through synergies. **The data point that would most change the verdict:** Q4/FY2026 results (late February 2027). They will show the first post-boom guide, any order or backlog disclosure, and the PTC financing plan. A price ≤ €235 clears the gate (GREEN-WEAK); around €200–215 there is real cushion.

Macro timing: the SHORT bias and the AI-capex sell-off argue against a single lot now. But EU industrials have just been upgraded to WATCH (EXH4 reclaimed MA20). A staged approach fits: a first tranche near the Base (≤ €235) and a second around €210. That is a plan to consider, not an instruction.

13. Investment Checklist Scorecard

Side output — not a gate; it does not change the Step 12 verdict.

Categoria	✓	✗	?	N/A	Score
Pre-investimento	7	2	1	0	7/10
Business Modeled Economics	6	0	1	0	6/7
Unit Economics e KPI	6	0	0	1	6/7
Strategia e Risorse	9	0	1	0	9/10
Power Dynamics	8	0	1	0	8/9
Check dei Poteri	3	4	0	0	3/7
Valutazione	9	0	2	0	9/11
Opzionalità	4	0	1	0	4/5
Management e Governance	4	2	5	0	4/11
Rischi	6	2	1	0	6/9
Totale	62	10	13	1	**62/86**

Coverage = (✓ + ✗) / (86 − N/A) = 72/85 = 85%. The ? items cluster in Management e Governance because the Universal Registration Document could not be retrieved: missing information, not a bad mark.

Pre-investimento

ID	Check	Mark	Evidence

PRE-1	Enough research	✓	FY25 release (full), Q3 call, H1 release figures, PTC terms, peers; URD missing
PRE-2	Bear case / pre-mortem	✓	Bear €145: data-centre digestion + PTC overpaid
PRE-3	Key drivers understood	✓	Data Center & Networks ~30%; Systems mix; pricing
PRE-4	Differentiated view vs market	✗	Price ≈ Base; no edge vs consensus
PRE-5	Favourable risk-reward	✗	Bull +28% vs Bear −40%
PRE-6	Catalyst	✓	FY26 results Feb 2027; PTC synergy plan; deal close Q3 2027
PRE-7	Disconfirming information known	✓	Invalidation list (Step 12)
PRE-8	Why this vs existing holdings	?	Overlaps the AI-power theme of STRL/DY; portfolio question
PRE-9	Buy more after −50%	✓	−50% ≈ €120, below Bear €145
PRE-10	Not a value trap / turnaround	✓	Stalwart with rising margins

Business Model ed Economics

ID	Check	Mark	Evidence
BM-1	Target client & value proposition	✓	Data centres, buildings, industry, infrastructure
BM-2	Revenue model & mix	✓	Products / Systems 34% / Software & Services 19% (FY25 release)
BM-3	Granular cost structure	?	Segment detail only at EBITA level; URD not read
BM-4	Operating leverage	✓	Support costs −80bp of revenue FY25
BM-5	Go-to-market	✓	Distributors, panel builders, OEMs, direct for data centres
BM-6	Unexploited pricing power	✓	Pricing offset tariffs/metals; 'flex' in 2027
BM-7	Strategic partners	✓	Hyperscalers, Nvidia reference designs (press), AVEVA/PTC ecosystem

Unit Economics e KPI

ID	Check	Mark	Evidence
UE-1	Unit economics good, not temporary	✓	Gross margin ~42% stable 4 years
UE-2	3–4 key KPIs tracked	✓	Organic growth, adj. EBITA margin, FCF conversion, ARR
UE-3	Cash cycle understood	✓	FCF 111% of NI; WC outflow modest
UE-4	ROIC high and can still grow	✓	~15% incl. goodwill, rising

UE-5	Capital intensity	✓	Capex 3.8%
UE-6	Incremental margins	✓	H1 26 EBITA +€583M on +€1.9B revenue ≈ 30%
UE-7	Gross profit vs marketing	N/A	Not marketing-driven

Strategia e Risorse

ID	Check	Mark	Evidence
STR-1	Strategy understood	✓	Electrification + automation + software (PTC)
STR-2	Value chain mapped	✓	Components → systems → software → services
STR-3	Value-chain evolution	✓	Prefab and liquid cooling move value to integrators like SE
STR-4	Vertical integration	✓	Hardware + software + services
STR-5	Key success factors	✓	Capacity, data-centre attach, pricing
STR-6	Oligopoly structure	✓	ABB, Siemens, Eaton, Schneider, Legrand
STR-7	Rational past conduct	✓	Pricing discipline through tariffs
STR-8	Barriers to entry	✓	Standards, certifications, installed base
STR-9	Five forces favourable	✓	Fragmented buyers (via distributors); hyperscalers concentrated
STR-10	Highest-value resources / synergies	?	PTC synergies unproven

Power Dynamics

ID	Check	Mark	Evidence
PD-1	Strategic inflection point	✓	AI data-centre power density; PTC software pivot
PD-2	Company phase	✓	Mature leader in a growth burst
PD-3	Competitors segmented	✓	EM vs IA vs software peers (Step 1)
PD-4	Why not a commodity	✓	Systems + software + standards
PD-5	Powers analysed	✓	Switching cost, brand, scale
PD-6	Main Power identified	✓	Switching costs / installed base
PD-7	Cost & pricing vs competitors	?	No peer cost data
PD-8	Moat incl. contrary data	✓	Contrary: Vertiv pure-play share gains, JPM on IA
PD-9	Multi-business strategy	✓	EM + IA + software

Check dei Poteri

ID	Check	Mark	Evidence
POW-1	Unique resources	✗	None unique
POW-2	Counter-positioning	✗	None
POW-3	Switching cost	✓	EcoStruxure, AVEVA/PTC engineering workflows
POW-4	Network economies	✗	Weak
POW-5	Scale economies	✓	Global manufacturing and distribution scale
POW-6	Branding	✓	Schneider / Square D / APC brands
POW-7	Process power	✗	Not evidenced

Valutazione

ID	Check	Mark	Evidence
VAL-1	TAM analysed	?	No company TAM found
VAL-2	Market share	?	Not sourced
VAL-3	Implications of assumptions (invert)	✓	Price needs ~21.9% margin + CMD growth (Step 6)
VAL-4	Base rates checked	✓	Margin-expansion base rate → ~€215
VAL-5	Organic growth	✓	+20% YTD organic
VAL-6	Why revenue grows / falls	✓	Data-centre demand vs digestion
VAL-7	Costs in detail and evolution	✓	SFC ratio, restructuring €500M, pricing vs inputs
VAL-8	Working capital / capex can improve	✓	Capex light; WC outflow shrinking
VAL-9	Intrinsic value estimated	✓	€145 / €236 / €307
VAL-10	No common errors	✓	IFRS 16 in net debt; PTC and equity raise in bridge
VAL-11	Possible, plausible, probable	✓	Base = company plan: plausible

Opzionalità

ID	Check	Mark	Evidence
OPT-1	Resources extend to new	✓	Liquid cooling, prefab, software

	businesses		
OPT-2	Economics of similar products	?	Not researched
OPT-3	Differentiated competence for launches	✓	Motivair integration into data-centre offer
OPT-4	Unreported drivers	✓	Data-centre orders/backlog undisclosed
OPT-5	Traction of options	✓	AVEVA ARR +12%

Management e Governance

ID	Check	Mark	Evidence
MGT-1	Organisation & key roles	✓	CFO Hilary Maxson (release); CEO change in 2024–25 (not re-verified)
MGT-2	Incentives (URD remuneration report)	?	URD not read
MGT-3	Clean governance, stable top team	?	Not verified
MGT-4	Founder / aligned incentives	✗	Professional management; stake not verified
MGT-5	Interviews / integrity	?	Not researched
MGT-6	Culture	?	Not researched
MGT-7	Unionised workforce	?	URD not read
MGT-8	No short-termism	✓	Capacity investment; 2030 targets
MGT-9	Operational excellence	✓	Two guidance raises in 2026
MGT-10	Takes innovative rivals seriously	✓	Motivair, prefab, PTC responses
MGT-11	Value-creating capital allocation	✗	PTC at ~22× EBITA + €6B issue at €240

Rischi

ID	Check	Mark	Evidence
RSK-1	Risk factors read	✗	URD not retrievable
RSK-2	No excessive concentration	?	Customer data not available; data-centre end-market ~30%
RSK-3	Cyclicality understood (not cyclical)	✓	Margins rose through 2022–25
RSK-4	No accounting red flags	✓	Accruals −3.1%; FCF > NI
RSK-5	Leverage manageable	✓	1.64× now; ~2.9× pro forma, IG

RSK-6	Goodwill / failed acquisitions	✗	Goodwill 40% of assets; Uplight impairment €388M
RSK-7	Not a fad	✓	Electrification is multi-decade
RSK-8	No technical debt	✓	Leading in data-centre power & cooling
RSK-9	Still nimble	✓	Fast capacity additions (liquid cooling sites)

Weakest category (most ✗, excluding Powers): Pre-investimento (2 ✗), Management e Governance (2 ✗), Rischi (2 ✗).

✗ in PRE and RSK: PRE-4, PRE-5, RSK-1, RSK-6.

Powers present: POW-3 Switching cost; POW-5 Scale economies; POW-6 Branding.